

AAPL: bull vs bear

Equity research from SEC filings. Every number below was verified against the company's filed XBRL data before it was accepted.

Model	gemini-2.5-flash
Retrieval chunker	fixed
Fiscal years	FY2025 vs FY2024
Run date	2026-09-23
Conversation id	acb9f61ec691494a
Runtime	108.369s
Tokens (in / out)	80,055 / 24,951
Bull claims	5 kept, 0 removed
Bear claims	6 kept, 0 removed

Bull case

1. Apple's revenue increased to \$416,161 million in fiscal 2025 from \$391,035 million in fiscal 2024, representing a year-over-year growth of 6.43%. [F1] [F2] [C1]
2. Net income rose to \$112,010 million in fiscal 2025 from \$93,736 million in fiscal 2024, and the net income margin increased by +2.94 percentage points to 26.92% in fiscal 2025 from 23.97% in fiscal 2024. [F3] [F4] [C18] [C6] [C7]
3. The company's debt to equity decreased to 122.98% in fiscal 2025 from 169.73% in fiscal 2024, while return on equity increased to 171.42% in fiscal 2025 from 157.41% in fiscal 2024. [C12] [C13] [C14] [C15]
4. Services net sales increased in fiscal 2025, driven by advertising, the App Store, and cloud services, contributing to increased net sales in the Americas, Europe, and Japan segments. [P12] [P11]
5. Based on fiscal 2025 Free Cash Flow, the equity value per diluted share is \$111.91 per share. [C19]

Bear case

1. Free cash flow decreased to \$98,767 million in fiscal 2025 from \$108,807 million in fiscal 2024. [C8] [C9]
2. Greater China net sales decreased to \$64,377 million in fiscal 2025 from \$66,952 million in fiscal 2024, primarily due to lower iPhone sales. [P11]
3. Net sales for Wearables, Home and Accessories decreased to \$35,686 million in fiscal 2025 from \$37,005 million in fiscal 2024. [P12]
4. The company faces significant and intensifying competition, with competitors imitating product features and aggressively cutting prices. [P2] [P5]
5. The company is exposed to risks from reliance on outsourcing partners, potential supply shortages and price increases for components, and design and manufacturing defects. [P3] [P5] [P9]
6. Geopolitical factors, including tariffs and trade disputes, can adversely impact consumer spending, and net sales and gross margins are subject to volatility and downward pressure. [P4] [P8] [P11]

Critic log

Every numeric figure is checked in Python against the evidence it cites (value, scale and fiscal year); qualitative statements are checked against the cited 10-K passages. Failed claims go back to their author; claims still failing after the last revision are removed.

Side	Round	Passed	Failed
bull	0	3	3
bull	1	5	0
bear	0	5	1
bear	1	6	0

Planted error (bull, perturb): **CAUGHT**

Original: Net income rose to \$112,010 million in fiscal 2025 from \$93,736 million in fiscal 2024, and the net income margin saw a significant increase of +2.94 percentage points to 26.92% in fiscal 2025 from 23.97% in fiscal 2024.

Planted: Net income rose to \$112,010 million in fiscal 2025 from \$93,736 million in fiscal 2024, and the net income margin saw a significant increase of +2.94 percentage points to 28.80% in fiscal 2025 from 23.97% in fiscal 2024.

Bull, round 0: rejected claims

- Net income rose to \$112,010 million in fiscal 2025 from \$93,736 million in fiscal 2024, and the net income margin saw a significant increase of +2.94 percentage points to 28.80% in fiscal 2025 from 23.97% in fiscal 2024.
value_mismatch: 28.80% does not match [C6] net_income_margin FY2025 = 26.92%; unsupported: The claim states that the net income margin increased to 28.80% in fiscal 2025, but the provided figure C6 for net_income_margin FY2025 is 26.92%. This is a factual mismatch.
- Services net sales showed strong growth in fiscal 2025, driven by advertising, the App Store, and cloud services, contributing to increased net sales in the Americas, Europe, and Japan segments.
unsupported: The passages state that 'Services net sales increased during 2025' and identify the drivers (advertising, App Store, cloud services) and contributions to increased net sales in the Americas, Europe, and Japan segments. However, the passages do not use the qualitative descriptor 'strong growth', only 'increased'.
- Key growth drivers for the company include services such as the App Store, Apple Arcade, Apple Fitness+, Apple Music, Apple News+, Apple TV, Apple Card, and Apple Pay.
unsupported: Passage P1 describes the listed services but does not explicitly state that they are 'key growth drivers' for the company. While P12 mentions the App Store as a driver for Services net sales, the claim refers to 'key growth drivers for the company' and includes other services not explicitly identified as such drivers in the provided passages.

Planted error (bear, perturb): **CAUGHT**

Original: Free cash flow decreased to \$98,767 million in fiscal 2025 from \$108,807 million in fiscal 2024.

Planted: Free cash flow decreased to \$98,767 million in fiscal 2025 from \$116,423 million in fiscal 2024.

Bear, round 0: rejected claims

- Free cash flow decreased to \$98,767 million in fiscal 2025 from \$116,423 million in fiscal 2024.
value_mismatch: \$116,423 million does not match [C9] free_cash_flow FY2024 = \$108,807 million

Sources

F = XBRL fact as filed, C = deterministic calculation (inputs listed), P = retrieved 10-K passage.

ID	Evidence	Source
F1	revenue FY2025: \$416,161 million	RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27
F2	revenue FY2024: \$391,035 million	RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28

ID	Evidence	Source
C1	revenue_yoy_growth FY2025: 6.43%	(revenue FY2025 - FY2024) / FY2024 ; inputs: RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28
F3	net_income FY2025: \$112,010 million	NetIncomeLoss [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27
F4	net_income FY2024: \$93,736 million	NetIncomeLoss [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28
C18	net_income_margin_change FY2025: +2.94 percentage points	net_income_margin FY2025 - FY2024; inputs: NetIncomeLoss [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27; NetIncomeLoss [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28
C6	net_income_margin FY2025: 26.92%	net_income / revenue (FY2025); inputs: NetIncomeLoss [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27
C7	net_income_margin FY2024: 23.97%	net_income / revenue (FY2024); inputs: NetIncomeLoss [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28
C12	debt_to_equity FY2025: 122.98%	long_term_debt / shareholders_equity (FY2025); inputs: LongTermDebt [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27; StockholdersEquity [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27
C13	debt_to_equity FY2024: 169.73%	long_term_debt / shareholders_equity (FY2024); inputs: LongTermDebt [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28; StockholdersEquity [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28
C14	return_on_equity FY2025: 171.42%	net_income FY2025 / avg(shareholders_equity FY2024, FY2025); inputs: NetIncomeLoss [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27; StockholdersEquity [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27; StockholdersEquity [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28
C15	return_on_equity FY2024: 157.41%	net_income FY2024 / avg(shareholders_equity FY2023, FY2024); inputs: NetIncomeLoss [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28; StockholdersEquity [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28; StockholdersEquity [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2023-09-30

ID	Evidence	Source
P12	Item 7 passage Products and Services Performance The following table shows net sales by category for 2025, 2024 and 2023 (dollars in millions): 2025 Change 2024 Change 2023 iPhone \$209,586 4% \$201,183 -% \$200,583 Mac 33,708 12% 29,984 2% 29,357 iPad 28,023 5% 26,694 (6)% 28,300 Wearables, Home and Accessories 35,686 (4)% 37,005 (7)% 39,845 Services (1) 109,158 ...	AAPL 10-K accn 0000320193-25-000079 (period 2025-09-27), Item 7, fixed-0054
P11	Item 7 passage and duration of these measures. Trade and other international disputes can have an adverse impact on the overall macroeconomic environment and result in shifts and reductions in consumer spending and negative consumer sentiment for the Company's products and services, all of which can further adversely affect the Company's business and results of operations. Segment Operating Performance The follo...	AAPL 10-K accn 0000320193-25-000079 (period 2025-09-27), Item 7, fixed-0053
C19	dcf_value_per_share FY2025: \$111.91 per share	(PV of 5y FCF at g=0.05 + PV terminal at g=0.025, r=0.09) + cash - debt, / diluted_shares (base FY2025); inputs: NetCashProvidedByUsedInOperatingActivities [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27; PaymentsToAcquirePropertyPlantAndEquipment [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27; CashAndCashEquivalentsAtCarryingValue [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27; LongTermDebt [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27; WeightedAverageNumberOfDilutedSharesOutstanding [shares] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27
C8	free_cash_flow FY2025: \$98,767 million	operating_cash_flow - capex (FY2025); inputs: NetCashProvidedByUsedInOperatingActivities [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27; PaymentsToAcquirePropertyPlantAndEquipment [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27
C9	free_cash_flow FY2024: \$108,807 million	operating_cash_flow - capex (FY2024); inputs: NetCashProvidedByUsedInOperatingActivities [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28; PaymentsToAcquirePropertyPlantAndEquipment [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28
P2	Item 1A passage the Company faces significant competition as competitors imitate the Company's product features and applications within their products to offer more competitive solutions. The Company also expects competition to intensify as competitors imitate the Company's approach to providing components seamlessly within their offerings or work collaboratively to offer integrated solutions. Some of the Company...	AAPL 10-K accn 0000320193-25-000079 (period 2025-09-27), Item 1A, fixed-0019

ID	Evidence	Source
P5	Item 1 passage as well as established hardware, software, and service offerings with large customer bases. In addition, the Company faces significant competition as competitors imitate the Company's product features and applications within their products to offer more competitive solutions. The Company also expects competition to intensify as competitors imitate the Company's approach to providing components sea...	AAPL 10-K accn 0000320193-25-000079 (period 2025-09-27), Item 1, fixed-0008
P3	Item 1A passage and the timely and successful development and market acceptance of new products, services and technologies. Success also relies on the Company's ability to manage the risks associated with new technologies and production ramp-up issues, the effective integration of third-party services and technologies into the Company's products and services, the availability, delivery and performance of applicat...	AAPL 10-K accn 0000320193-25-000079 (period 2025-09-27), Item 1A, fixed-0020
P9	Item 1A passage source. When a component or product uses new technologies, initial capacity constraints may exist until the suppliers' yields have matured or their manufacturing capacities have increased. The Company may not be able to extend or renew agreements for the supply of components on similar terms, or at all, and may not be successful in obtaining sufficient quantities from its suppliers in a timely man...	AAPL 10-K accn 0000320193-25-000079 (period 2025-09-27), Item 1A, fixed-0022
P4	Item 1A passage factors, including whether additional or incremental U.S. Tariffs or other measures are announced or imposed, to what extent other countries implement tariffs or other retaliatory measures in response, and the overall magnitude and duration of these measures. If disputes and conflicts further escalate, actions by governments in response could be significantly more severe and restrictive. Many of t...	AAPL 10-K accn 0000320193-25-000079 (period 2025-09-27), Item 1A, fixed-0016
P8	Item 1A passage and payment card data are subject to additional privacy, security and breach notification requirements, and the Company is subject to audit by governmental authorities regarding the Company's compliance with these obligations. If the Company fails to adequately comply with these rules and requirements, the Company can be subject to litigation or government investigations, can be liable for associa...	AAPL 10-K accn 0000320193-25-000079 (period 2025-09-27), Item 1A, fixed-0040